Syllabus Edition
First teaching 2025
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Understanding Market Changes

Exam code: 0450, 0986 & 0264, 0774

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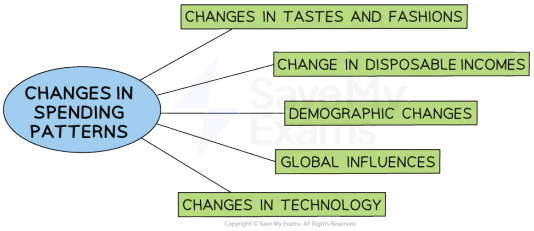
Why consumer spending patterns may change

- **Markets and marketing strategies are constantly changing** as a direct result of the changing wants and needs of customers, which affect their **spending patterns**
- Businesses that **conduct ongoing market research** are able to **identify and interpret** the changes that are happening in markets

Reasons for changes in spending patterns



If businesses fail to respond to changing customer needs, then they are likely to fail

1. **Changes in tastes and fashions**
   - Trends in some markets can change very quickly
     - For example, wide-leg jeans are now more fashionable with **Gen-Z** customers than 'skinny' jeans worn by **millennials**
2. **Change in disposable incomes**
   - High **unemployment** or **inflation** may lead to customers to buy cheaper products, e.g own brand breakfast cereal

Stuck on something?
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Got it

- Demand for products that meet their needs has driven many market changes
  - For example, sales of specialist travel insurance for mature holidaymakers has increased

4. **Global influences**
   - The arrival of well-known international brands can change demand and purchasing patterns in a market
   - Increased travel, support from celebrities and extensive promotional activity drive demand
     - For example, American fast food chains now dominate the market for fast food across Europe

5. **Changes in technology**
   - New technology makes old technology less desirable or obsolete
     - For example, products such as smart speakers are replacing sales of radios

Help me understand

Why some markets are becoming more competitive

- Competition occurs when **at least two businesses** are providing goods or services to the same **target market**
  - The more businesses in the market, the more intense the competition

- Competition results in **many benefits for the customer**, such as
  - Lower prices
  - Better-quality products
  - Better customer service

Reasons for increased competition

Reason	Explanation
Globalisation	• **Businesses can now sell to and compete with companies all over the world** • Customers have **more choices**, so businesses must work hard to stand out ○ For example, a Spanish clothing brand competes not only with local shops but also with online stores from Asia, Europe and the US
Technology and e-commerce	• **The internet allows new businesses to enter the market easily and sell online** • Customers can compare prices and reviews quickly, increasing

	competes with supermarkets, technology stores and bookshops all at once
Lower barriers to entry	• **It is now easier and cheaper for people to start a business** • Social media, online marketplaces, such as Etsy or Shopify, and digital tools make it possible to sell products without needing a physical store
Changing customer expectations	• **Customers expect better quality, faster delivery, more choice, and lower prices** • Businesses must constantly improve to meet these expectations or risk losing customers to rivals
Innovation and product development	• **Businesses continually introduce new and improved products** • Competitors must match or beat these innovations to keep their customers
Transportation improvements	• **It is easier and cheaper to transport products from one part of the world to anothe**r due to developments such as containerisation

Responding to changing spending patterns and increased competition

- Whenever there are **changes to spending patterns** or **competition,** a business will need to **take action** to maintain its market position

Steps a business can take to remain competitive

1. **New product development**
   - Creating new or improved products helps a business stay competitive, attract new customers and build brand loyalty
   - For example, **Apple** responded to changes in how people listened to music by moving from iPods to digital downloads through the Apple Music app
2. **Customer focus**

3. **Improve products**
    - Regularly improving products helps a business match or outperform competitors and maintain its market share
        - For example, **Google** continues to develop services like Google Meet to stand out from other tech and search engine companies

4. **Minimise costs**
    - Reducing costs can allow a business to offer lower prices or increase profit margins
    - Higher retained profit can be reinvested into promotion or expansion, helping the business grow and reach more customers

Examiner Tips and Tricks

Don't just state that markets change – in exams, explain **why** (e.g. technology, income, competition) and link it to **how a business might respond** to stay competitive

Market share

- **Market share** is the **proportion of the total sales** of a product or service compared to the market as a whole
    - e.g. Carrefour has 20.2% of the French grocery market
- **Market share** is calculated using the formula

$$\text{Market share} = \frac{\text{Sales of a business in a time period}}{\text{Total market sales in a time period}} \times 100$$

Worked Example

In 2024, the UK coffee shop market was worth £4.8bn. Sales of Starbucks Coffee were £526m in 2024.

Calculate the market share of Starbucks Coffee in the UK coffee shop market.

(3)

Step 1: Identify annual sales of Starbucks Coffee

£526m

Step 2: Identify total market sales in the coffee shop market

£4.8bn

Step 3: Substitute figures into the formula

$= 10.96\%$

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